Investigating the Impact of Consumer Feedback on Product Innovation in FMCG Companies in the UK

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Acknowledgment

I am thankful to my professors for guiding me to develop a study on "**Investigating the Impact of Consumer Feedback on Product Innovation in FMCG Companies in the UK**" in an effective manner. I would also like to thank my friends and families for supporting me to conduct the study in a concise and brief manner.

Declaration

‘This assignment is my own work. If I have worked with someone else or have received help, I have shown this clearly in my work. I have given references for all quotations and materials from the work of other people.’

Signature:

Date:

Abstract

Chapter 1: Introduction

This chapter presents the strategic gap between the availability of consumer feedback and its proper utilization in UK FMCG innovation. It places the study in the context of Absorptive Capacity and Diffusion of Innovation theories, establishing research objectives, aims, hypotheses, and significance when investigating how feedback improves product speed, novelty, and regional relevance.

Chapter 2: Literature Review

Literature review critically reviews theoretical and empirical literature on consumer feedback within FMCG innovation. It emphasizes contradictions within the existing literature, discusses shortages in real-time and geographically local feedback incorporation, and determines critical organisational absorptive capacity gaps providing the conceptual development for this study's UK-focused diagnostic framework.

Chapter 3: Research Methodology

Chapter 3 offers a formal, positivist-grounded approach through a deductive methodology and correlational design. It explains why quantitative surveys, stratified random sampling, and twin statistical tools (SPSS and SmartPLS) were used to assess how UK FMCG companies convert consumer opinions into innovation results, ensuring validity, generalisability, and rigour.

Chapter 4: Data Analysis and Results

This chapter reports the empirical findings, beginning with descriptive statistics and sample demographics, followed by reliability and exploratory factor analyses, Pearson correlation matrices, and one-way ANOVA tests, before mapping these results back to the study's hypotheses to reveal how real-time feedback, mediated by speed-to-market and moderated by regional heterogeneity, impacts innovation performance.

Chapter 5: Conclusion

This chapter synthesizes the study's key insights—confirming the transformative role of digital feedback via a speed-to-market pathway and regional contingencies—articulates theoretical contributions and actionable managerial recommendations, acknowledges methodological limitations, and proposes directions for future research on feedback-driven innovation.

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Chapter 1: Introduction

1.1 Introduction

The UK FMCG market is characterised by fast-paced innovation cycles, shopper volatility, and growing dependence on digital touchpoints for insight into the market. Although companies have never had more insight into consumer opinions through real-time mediums such as app-based reviews, social media platforms, and digital shop-floor kiosks the immediacy has not had a commensurate impact on persistent innovation results. Recent data from European and UK FMCG markets show that approximately 76% of new SKUs do not gain significant traction in their first year (O'Reilly, 2025), reflecting a strategic disconnect between decision implementation and data availability. The ongoing use of internalised ideation frameworks disregards the dynamic influence of consumer input as a driver of competitive differentiation. This study critically analyses how UK FMCG businesses gather, interpret, and utilise consumer feedback throughout innovation processes. Informed by Absorptive Capacity and Diffusion of Innovation theories, the research investigates the degree to which feedback contributes toward product novelty, speed-to-market, and regional resonance critical performance metrics in a hyper-competitive environment.

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Introduction

Literature Review

Methodology

Findings

Analysis

Conclusion

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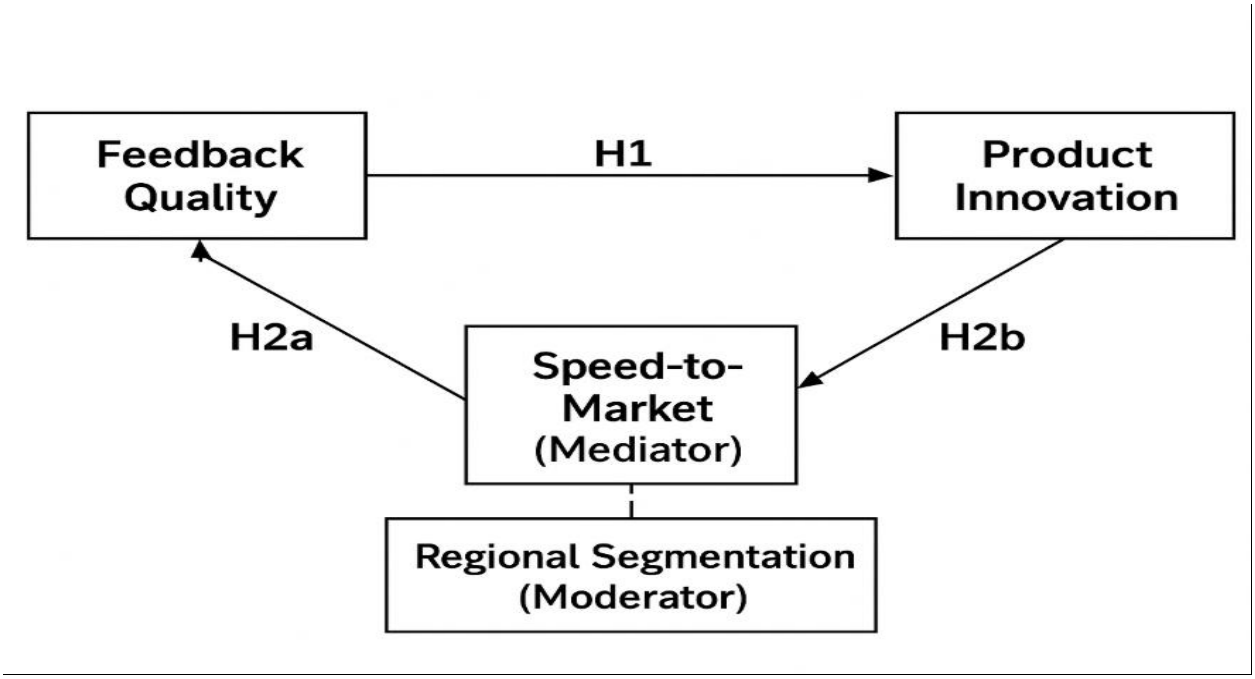
Feedback Quality
H1
Product Innovation
H2a
H2b
Speed-to-Market (Mediator)
Regional Segmentation (Moderator)

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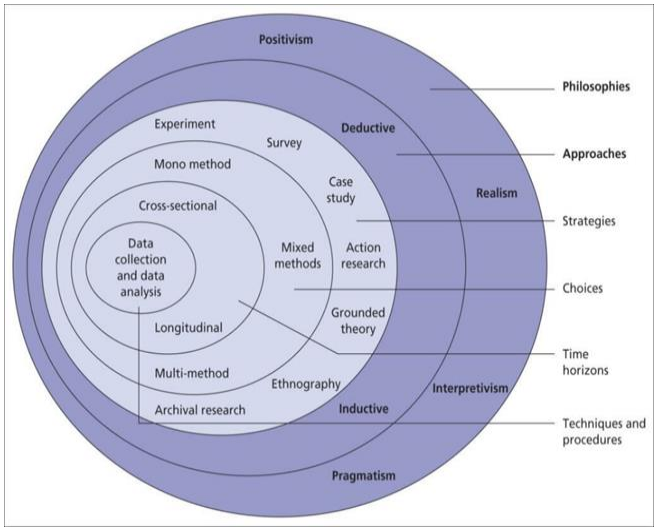

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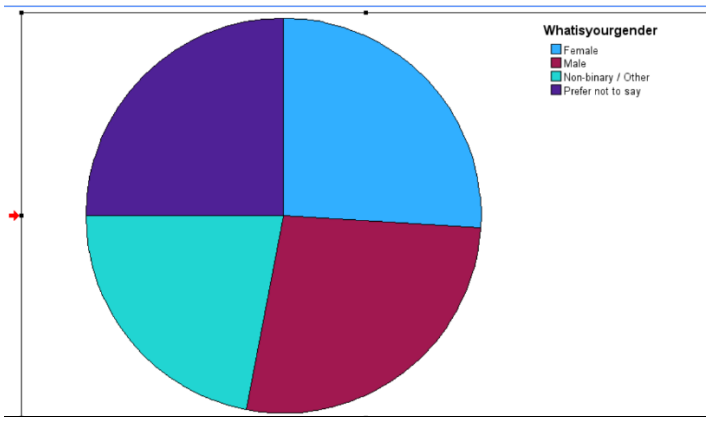

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Component Transformation Matrix

Component	1	2	3
1	.986	.002	.166
2	-.096	.823	.560
3	.135	.569	-.811

Extraction Method: Principal Component Analysis.
Rotation Method: Varimax with Kaiser Normalization.

[redacted]

Component Matrix[a]

	Component		
	1	2	3
Recode of Consumer Feedback Q1	-.815	.578	.028
Recode of Consumer Feedback Q2	-.011	.862	.506
Recode of Consumer Feedback Q3	.312	.326	-.892
Recode of Consumer Feedback Q4	-.949	.150	-.277
Recode of Consumer Feedback Q5	-.609	.763	.217
Recode of Consumer Feedback Q6	.631	.743	-.221
Recode of Consumer Feedback Q7	.962	.260	-.078
Recode of Consumer Feedback Q8	.592	.573	.567
Recode of Consumer Feedback Q9	.984	-.170	.049
Recode of Consumer Feedback Q10	.962	.260	-.078
Recode of Consumer Feedback Q11	.178	-.872	.457

Extraction Method: Principal Component Analysis.

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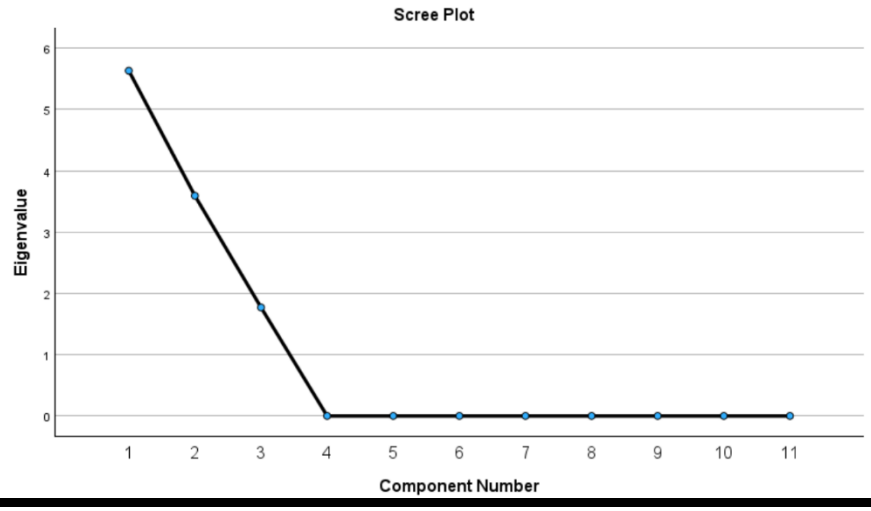

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Correlations

		Recode of Consumer Feedback Q1	Recode of Consumer Feedback Q3	Recode of Consumer Feedback Q5	Recode of Consumer Feedback Q7	Recode of Consumer Feedback Q9	Recode of Consumer Feedback Q11	Recode of Consumer Feedback Q2	Recode of Consumer Feedback Q4
Recode of Consumer Feedback Q1	Pearson Correlation	1	.167	-.104	.035	.111	-.192	-.117	.152
	Sig. (2-tailed)		.236	.455	.803	.433	.141	.397	.286
	N	72	52	54	52	52	60	55	51
Recode of Consumer Feedback Q3	Pearson Correlation	.167	1	.081	.001	-.141	.148	.006	-.154
	Sig. (2-tailed)	.236		.536	.992	.304	.263	.967	.267
	N	52	77	60	54	55	59	57	54
Recode of Consumer Feedback Q5	Pearson Correlation	-.104	.081	1	.176	-.070	-.106	-.118	-.159
	Sig. (2-tailed)	.455	.536		.187	.617	.424	.374	.236
	N	54	60	76	58	53	59	59	57
Recode of Consumer Feedback Q7	Pearson Correlation	.035	.001	.176	1	-.034	.068	.030	-.275*
	Sig. (2-tailed)	.803	.992	.187		.809	.627	.831	.046
	N	52	54	58	72	54	53	53	53
Recode of Consumer Feedback Q9	Pearson Correlation	.111	-.141	-.070	-.034	1	-.042	-.102	-.188
	Sig. (2-tailed)	.433	.304	.617	.809		.761	.467	.174
	N	52	55	53	54	72	55	53	54
Recode of Consumer Feedback Q11	Pearson Correlation	-.192	.148	-.106	.068	-.042	1	.053	-.227
	Sig. (2-tailed)	.141	.263	.424	.627	.761		.686	.096
	N	60	59	59	53	55	77	60	55
Recode of Consumer Feedback Q2	Pearson Correlation	-.117	.006	-.118	.030	-.102	.053	1	-.316*
	Sig. (2-tailed)	.397	.967	.374	.831	.467	.686		.021

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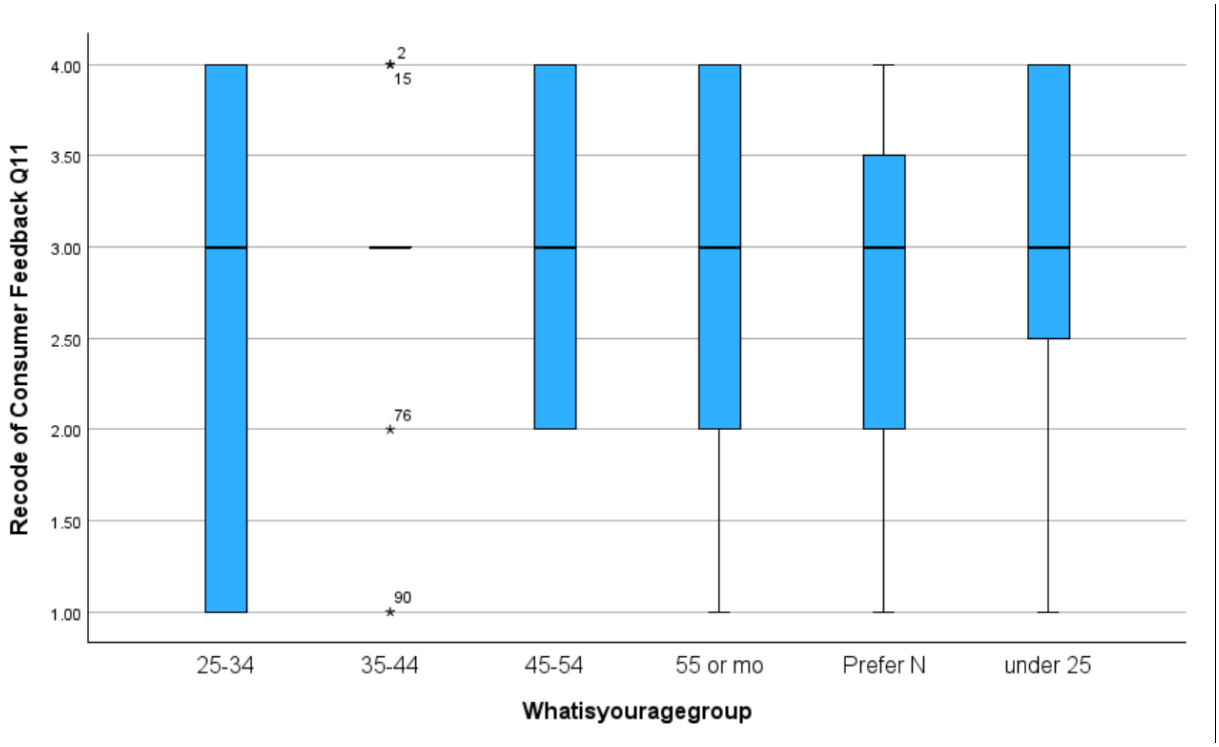
Recode of Consumer Feedback Q11
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3.50
3.00
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2.00
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1.00
2
15
76
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25-34
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